8.3 Sales Promotion

Sales promotion is one of the elements of the promotional mix used to increase the sales of the products. Sales promotion can be done either through media or non-media marketing. It can be for a predetermined period of time to increase consumer demand, stimulate market demand or improve product availability. Sales promotion increases the sales by attracting new customers or by retaining the old customers by various promotional techniques.

8.3.1 Definition

Sales promotion is the process of persuading a potential customer to buy a product. It is done to boost sales and build up customer loyalty.

8.3.2 Sales promotion techniques

Sales promotions can provide added value or incentives to consumers, wholesalers, retailers, or other organizational customers to stimulate immediate sales.



Prize contests

As technique of sales promotion, contests may be organized through radio or TV or newspapers. They might be asked to write a slogan for popularizing the product – the best selected slogan being awarded by offering one day free stay in hotel.

Sales Promotion Strategies

Some of the most common methods used in sales promotion strategies include:

- Coupons
- Price discounting
- Gift with purchase offers
- Sweepstakes
- Free samples
- Offers and rebates
- Refund and premium offers
- Group promotions
- Frequent user/loyalty incentives
- Point-of-sale displays



Off-Season Sales

Some products might be offered for reduction sales, during off-seasons. Sale of rooms at lower rate during winter season in hilly station.

8.3.3 Sales team structure

The structure of the sales team to a great extent depends on the number of people in the sales force.

The key members of a sales team structure include:

- The sales manager
- The assistant sales manager
- A team leader
- The sales personnel

Sales manager

The sales manager sits atop of the sales team structure. He/she is the driving

FSM_Chapter 08.indd 165 1/13/2020 10:34:04 AM